CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E65D40DC0
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: David Fairley <david.fairley@enron.com>
Sent: Thu, 24 May 2001 12:36:00 -0700 (PDT)
To: Kay Mann <kay.mann@enron.com>
Subject: FW: FW: Open items for MDEA

-----Original Message-----
From: Rorschach, Reagan
Sent: Thursday, May 24, 2001 12:52 PM
To: Fairley, David
Subject: RE: FW: Open items for MDEA

From: Mann, Kay
Sent: Thursday, May 24, 2001 12:13 PM
To: Rorschach, Reagan; Fairley, David; Kroll, Heather
Subject: Re: FW: Open items for MDEA

1. Need details re item 1 below. Please suggest language (band of acceptability, etc) which I will massage and incorporate.
[Rorschach, Reagan] Heat rates for given output from each machine are incorporated in the bogey model. We will establish these for contract purposes in the exhibit that specs out all owned assets. Those are the rates that we will discuss/modify each quarter.
[Fairley, David] Even though tweaking heat rates in the stack model periodically (at least to be discussed quarterly) is subjective, MDEA would always want to be as accurate as possible because the the inaccuracy causes the incorrect quantity of gas to be nominated, so they underburn or overburn for the day, which would get expensive if the extent of the inaccuracy were very much. They wear the risk on this. Being short or long delivered gas presents a variety of ways in which MDEA has to pay for costs to get in balance. Therefore, any desire that they might have to improperly shift the "bogey" to pay us $2 - 4 less per MWh, costs them more in gas imbalance costs.

6. Do I have the latest draft of Marketing/Risk policies? [Rorschach, Reagan] Yes
[Fairley, David] Sent via e-mail 5-21, but will re-send that e-mail for convenience.

7. Bogey calc only addresses gas. What if the fuel of choice is fuel oil? Does the fuel cost and heat rate change?
[Rorschach, Reagan] heat rates change when switching to fuel oil. That info is not available from MDEA. If the opportunity presents itself, we will evaluate on a event specific basis and agree to the actual cost of production. [Fairley, David] The rule of thumb that we will use to look at the Stack Model when burning oil vs. gas is about a 5% improvement in heat rate with oil. Cost per MMBtu is whatever we plug into the model,

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whether gas or oil, and prices change daily and intraday anyway, so price changes don't bother us. Since the oil is coming out of their tank, there is no concern about gas imbalance cost, therefore agonizing very much about heat rate modifications when using oil vs. gas is not really very practical.

Please point me to the defn of profit by cutting and pasting from wherever it is. I did a quick search and couldn't find it, but I didn't do a page turn to locate it.
[Fairley, David] It is in the last exhibit, MDEA EPMI Incentive Fee Calculation, Exhibit XX, attached. I'm not sure that Section 13 and Exhibit XX work well together. They were drafted at different times. I will send any comments on this in the morning. (The only thing that we have changed in this group of exhibits attached is the revised asset management services description that was e-mailed with the Marketing Strat. and the Trad & Risk Policy).

Thanks,

Kay

From: Reagan Rorschach/ENRON@enronXgate on 05/24/2001 11:38 AM
To: Kay Mann/Corp/Enron@Enron
cc:

Subject: FW: Open items for MDEA

-----Original Message-----
From: Fairley, David
Sent: Thursday, May 24, 2001 11:15 AM
To: Rorschach, Reagan
Subject: RE: Open items for MDEA

-----Original Message-----
From: Mann, Kay
Sent: Wednesday, May 23, 2001 5:06 PM
To: Rorschach, Reagan; Kroll, Heather; Fairley, David; May, Tom
Subject: Open items for MDEA

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[Fairley, David]

Here are issues which I'm unclear about, all of which impact the drafting of the agreement:

1. How are we setting the heat rate? Do we have the GADS (?)? Is it a daily average, weekly average? Flat rate? Adjusted? If so, how often?
[Fairley, David]
Each utility is obligated to provide the heat rate information to use in the appropriate Exhibit and the Stack Model. As conditions change the utilities must update this info. We are tracking heat rates based on actual fuel usage. Services and Orig agreed yesterday to add language that requires a quarterly review of heat rate data to determine if the assumptions being used are satisfactiry -- it can never be exact, but it should be accurate within a band of acceptability. No GADS. Heat rates will be adjusted in the model as often as necessary to account for significant changes such as hotter ambient temps..

2. Are we comfortable that there are no permit restrictions?
[Fairley, David]
Yes, their units are too small. We have discussed this with the customer, and with our internal air permit guys.
[Rorschach, Reagan] They have Title V permits, and they are faxing them to us today. They have no run hour limitations on gas, however, they are limited on oil. Will need to get that summary to Kay as soon as possible.

3. We have determined that we won't deal with fuel oil, right?
[Fairley, David]
We won't buy and sell fuel oil. We may dispatch on oil at start-up, or we may switch to oil and sell the gas if profitable, which constitutes a Product transaction with the resulting profit split.
[Rorschach, Reagan] We need to state that MDEA and Cities are responsible for maintaining fuel oil supplies.

4. We aren't making money on gas, right?
[Fairley, David]
We make money on gas two ways. The first is outside the contract, and is basicly any internal profit on re-sale of gas to the Cities. The second way we can make money on gas is when the gas trade is in the form of a Product trade, and those procedures apply.

5. Do we have a defn of costs that we like yet, and if so, how does it fit in to the picture?
[Fairley, David]
Yes, will send separately.

6. Is there an up-to-date set of exhibits?
[Fairley, David]
The Marketing Strategy, the Trading and Risk Policy, and the Description of Asset Management have been upated. The other Exhibits have not been